

BUY-SIDE EQUITY RESEARCH

PALANTIR TECHNOLOGIES

The ontology layer between enterprise data and AI decisions

PLTR : NASDAQ | Enterprise & Government AI Software

1 EXECUTIVE SUMMARY

Market cap: US\$295-316bn at US\$123.06 (basic vs diluted share count)	Revenue (FY2025): US\$4.48bn (derived); TTM to Q1 2026 US\$5.23bn
Gross / adj. operating margin: 86.8% / 60.2% (Q1 2026)	FY2026 guidance: Revenue US\$7.650-7.662bn (+71%); adj. op. income US\$4.440-4.452bn; adj. FCF US\$4.2-4.4bn
Q2 2026 guidance: Revenue US\$1.797-1.801bn; adj. op. income US\$1.063-1.067bn	Share count: 2,394m basic / 2,571m diluted (Q1 2026)
Balance sheet: US\$8.0bn cash and short-term Treasuries, no debt	HQ: Miami, Florida (relocated from Denver, February 2026)

Palantir does not sit in a supply chain in the way a component maker does. It sits in a decision chain. Upstream of it are the systems that generate enterprise and defence data -- enterprise resource planning systems, sensor feeds, logistics databases, intelligence collection -- and the cloud and silicon infrastructure that stores and processes them. Downstream of it are the humans and, increasingly, the software agents that act on those data. Palantir's product is the layer in between: a semantic model of an organisation that turns disconnected records into objects with relationships and permitted actions, so that a decision made in software has an effect in the physical world. That position is why the company captures value from artificial intelligence without owning a single graphics processing unit or data centre.

The investment thesis has three parts. First, the ontology layer is a genuine switching-cost moat: once an organisation's operational logic is encoded in Foundry or Gotham, replacing it means re-deriving that logic from scratch, and the US Army's 2025 Enterprise Agreement -- which consolidated 75 separate contracts into one vehicle -- deepened that lock-in at the largest single customer in the world. Second, the financial profile is genuinely rare: 85% year-on-year revenue growth at a 60% adjusted operating margin and a 57% adjusted free cash flow margin, a combination the company markets as a Rule of 40 score of 145%. Third, and against those two, the equity has fallen roughly 30% year to date and roughly 38% from its November 2025 high while the fundamentals accelerated -- which tells you the security is trading on multiple compression, not on results.

This report combines a full initiation with a specific, dated evaluation of the Q2 2026 result due after the close on Monday 3 August 2026. The short version of that evaluation, developed in Section 9: consensus revenue of roughly US\$1.810bn sits only 0.6% above the midpoint of the company's own guidance, while Palantir has beaten its own revenue guide by between 6.0% and 8.9% in each of the last three quarters. The Street bar is a mechanical guidance plug. The probability of a beat is high. The probability that a beat is rewarded is a completely separate question, and the honest answer there is close to a coin flip.

2 TECHNOLOGY DEEP-DIVE

ELI5 — What an ontology actually is

Imagine a hospital where the patient records live in one filing cabinet, the staff rota in another, the pharmacy stock in a third, and the ambulance dispatch log in a fourth. Every cabinet is well organised. None of them knows the others exist. If you want to answer "which patients are at risk tonight because we are short of both a drug and a nurse?", a person has to walk to all four cabinets, read them, translate between four different naming schemes, and hold the answer in their head. An ontology is what you get when you stop filing and start modelling: you declare that a Patient is a thing, a Nurse is a thing, a Drug is a thing, that a Nurse can be assigned to a Patient and a Drug can be administered to a Patient -- and then you wire every cabinet into that model. Now the question is answerable by software, and, crucially, so is the follow-up: "reassign the nurse." The model does not just describe the hospital. It is the interface through which the hospital can be changed.

Technically, Palantir's ontology is a semantic layer that sits above heterogeneous data sources and defines three things: object types (a Vessel, a Purchase Order, a Munition), link types (the relationships between them), and action types (the operations that may be performed, together with the write-back logic that pushes the result into the source system). The engineering that matters is not the modelling language -- several vendors have one -- but the plumbing underneath it. Palantir maintains bidirectional connectors into several hundred source system types, with lineage tracking so that any object attribute can be traced back to the row and pipeline transformation that produced it, and a permissioning model in which access control is evaluated at the object and even the attribute level rather than at the table or dashboard level. That last property is what makes the software usable in classified environments, and it is the reason competitors with better user interfaces have not displaced it in defence.

The practical consequence is that when a large language model is pointed at a Palantir deployment, it is not being handed a pile of documents to summarise. It is being handed a typed, permissioned, write-capable model of an organisation. The model's outputs can be constrained to valid object types, checked against lineage, and executed as actions with an audit trail. This is the difference between a chatbot that produces a plausible paragraph about supply chain risk and a system that reroutes a shipment and records who authorised it.

The product portfolio maps to that architecture as follows.

Product line	What it is, technically	Competes against
Gotham	The original intelligence and defence platform. Entity-resolution engine over multi-source intelligence: fuses signals, imagery, human reporting and logistics into resolved entities with confidence scoring, then supports targeting and mission planning workflows. Accredited for classified networks up to and including deployment at the tactical edge.	In-house government systems, Booz Allen and Leidos custom integration work, Anduril Lattice on the autonomy side
Foundry	The commercial equivalent: an operational data platform combining pipeline orchestration, the ontology layer, and application building. Distinctive property is write-back -- Foundry applications commit changes into source enterprise resource planning and manufacturing execution systems rather than remaining read-only analytics.	Databricks, Snowflake, Microsoft Fabric, and bespoke Accenture or Deloitte builds on top of a cloud data warehouse
AIP (Artificial Intelligence Platform)	The layer that connects large language models to the ontology. Provides model routing across third-party foundation models, tool-calling bound to declared action types, and an evaluation and guardrail framework so model outputs are constrained to permitted operations. Sold primarily through the Bootcamp motion -- a short, hands-on deployment sprint that replaced the traditional enterprise sales cycle.	Microsoft Copilot Studio, Databricks Mosaic AI, AWS Bedrock Agents, direct enterprise builds on OpenAI or Anthropic application programming interfaces
Apollo	Continuous delivery and software management for environments with no reliable network -- classified enclaves, ships, forward-deployed hardware. Handles versioned deployment, dependency resolution and rollback across tens of thousands of heterogeneous targets. Management has begun positioning it as a vulnerability-remediation product on the argument that AI-generated code expands attack surface faster than it can be patched manually.	In-house DevOps toolchains, HashiCorp, ServiceNow on the IT operations side

Product line	What it is, technically	Competes against
Warp Speed	A vertical Foundry configuration for manufacturing and defence-industrial production: bill-of-materials modelling, capacity scheduling and supplier tracking aimed at re-industrialisation programmes.	SAP, Siemens Opcenter, and traditional manufacturing execution system vendors

ELI5 — Why this AI cycle changes the demand profile

For twenty years, enterprise software was sold by the seat: you paid per person who logged in, so revenue was capped by headcount. Think of it as selling desks. What changed is that the customer no longer wants desks -- it wants work done, and the worker can now be software. Once you are selling units of work rather than units of seating, the ceiling moves from "how many employees does this company have" to "how many decisions does this company make." That is a much bigger number, and it is the single most important structural fact about Palantir's revenue.

The quantification is visible in the reported numbers rather than in vendor marketing. In the first quarter of 2024 Palantir grew revenue 20.8% year on year. By the first quarter of 2026 that rate was 85%, the eleventh consecutive quarter of acceleration -- a pattern almost unheard of in software at this revenue scale, where the law of large numbers normally decelerates growth monotonically. US commercial revenue, the segment most exposed to the AIP motion, grew 133% year on year in the first quarter of 2026 to US\$595m, and management guides the full year above US\$3.224bn, at least 120% growth.

The intensity shift shows up more cleanly in contract value than in revenue, because contract value leads. Total contract value closed in the first quarter of 2026 was US\$2.41bn, up 61% year on year; US commercial remaining deal value reached US\$4.92bn, up 112%; total remaining deal value reached US\$11.8bn and remaining performance obligations US\$4.5bn, up 134%. The ratio that matters is contract value to current revenue. A company signing US\$2.41bn of lifetime contract value against US\$1.63bn of quarterly revenue is not being bought as a tool with an annual renewal cycle; it is being bought as infrastructure with a multi-year commitment. Deal-size distribution says the same thing: 47 deals of at least US\$10m closed in a single quarter, against 61 in the whole of the preceding fourth quarter.

The margin consequence is the part most often missed. Because the incremental sale is a configuration of an existing ontology rather than a bespoke deployment, gross margin has risen from roughly 79% at the end of 2024 to 86.8% in the first quarter of 2026, while adjusted operating margin has gone from 38% to 60% over eight quarters. Revenue growth and margin expansion are arriving simultaneously, which is the mechanical reason the Rule of 40 score -- revenue growth plus adjusted operating margin -- reached 145%. Management explicitly benchmarks that figure against Nvidia, Micron and SK hynix rather than against software peers, which is a positioning claim as much as a financial one, and should be read as such.

3 SUPPLY CHAIN MAPPING

ELI5 — What a software company's supply chain looks like

A car factory can be stopped by a missing bolt. Software has no bolts, so people assume it has no supply chain. It does -- the inputs are just different. A software company's bolts are the computers it rents, the accreditations that let it sell to secretive customers, the engineers it can hire, and the partner firms that do the unglamorous installation work. Any one of those can jam. Palantir's version of a missing bolt is a security accreditation lapsing, or a contract vehicle being cancelled before an award.

Palantir purchases essentially no physical inputs. Purchases of property and equipment were US\$7.4m in the first quarter of 2026 against US\$1.63bn of revenue -- roughly 0.45% of sales, a capital intensity so low it is effectively a rounding error. That is the central financial fact about the business model and the reason adjusted free cash flow conversion runs above 55%. The dependencies that matter are contractual and

institutional rather than material.

Input	Supplier(s)	Single-source ?	Risk assessment
Compute and storage	Amazon Web Services, Microsoft Azure, Google Cloud Platform, plus customer-owned on-premises and edge hardware	No	Genuinely multi-sourced, and Palantir's Apollo layer exists precisely to make deployments portable across them. Cost of revenue is only 13.2% of sales, so even a material cloud price increase moves gross margin by a point or two, not by ten.
Foundation models	Third-party large language models accessed through AIP's model-routing layer, plus open-weight models run in customer environments	No -- by design	AIP is deliberately model-agnostic. This is a competitive asset, not just a hedge: Palantir captures the orchestration and permissioning value regardless of which model wins, which is why foundation-model progress has so far been a tailwind rather than a disintermediation threat. The residual risk is that a model vendor moves up the stack into orchestration.
Security accreditations	US Department of Defense provisional authorisations, FedRAMP, and allied-nation equivalents	Effectively yes	This is the closest thing Palantir has to a single point of failure. Accreditation is slow, expensive and revocable, and it is simultaneously the moat -- competitors face the same multi-year path. A lapse or a downgrade would be a genuine production-continuity event.
Contract vehicles	US Army Enterprise Agreement (10-year, US\$10bn ceiling, awarded July 2025), General Services Administration schedules, Other Transaction Authority agreements	Concentrated	The Army Enterprise Agreement consolidated 75 prior contracts into one instrument. That raises switching costs enormously but also concentrates renegotiation and termination-for-convenience risk into a single document.
Delivery capacity	Accenture Federal Services, Deloitte, Cognizant, Rackspace; internal forward-deployed engineers	No	The partner network was built specifically to break the historical bottleneck in which revenue was capped by how many Palantir engineers could be embedded at customers. Quality control across partners is the live risk as the motion scales.
Engineering talent	Internal; approximately 4,429 full-time employees at end-2025	n/a	Revenue per employee above US\$1.1m and rising. The company is deliberately growing headcount far slower than revenue, which is the source of the margin expansion and also the reason the adjusted expense line is the swing variable in any quarterly model.

Geographic exposure is the mirror image of most technology companies: the concentration is in the United States, and that concentration is currently an asset rather than a liability. US revenue was US\$1.282bn of US\$1.633bn in the first quarter of 2026 -- 78.5% of the total -- growing 104% year on year against 51% for international government. The exposure that should concern an investor is not tariffs or logistics but political: a business where the largest customer is the US federal government carries administration-change risk, appropriations risk, and reputational risk from the specific uses to which the software is put. Several European partner nations are reported to be evaluating alternatives on digital-sovereignty grounds, and the decelerating international government growth rate is where that shows up first.

4 COMPETITIVE LANDSCAPE

ELI5 — Why the competitor list looks strange

If you ask who competes with Palantir you get an odd answer: a data warehouse company, a notebook company, a Microsoft product, a consulting firm and a defence startup. That is because Palantir sells a bundle that nobody else sells as a bundle. Competitors attack one slice each. Think of a company that sells a fully fitted kitchen. Its competitors are a cabinet maker, an appliance shop, a plumber and a designer -- each cheaper and better at their one thing, none of them offering the finished kitchen.

Company (ticker)	HQ	Revenue	Share of the ontology / operational-AI segment	Key differentiator	Weakness vs. Palantir
Palantir (PLTR)	Miami, US	US\$5.23bn TTM; FY2026E US\$7.65-7.66bn (+71%)	Segment leader; no reliable third-party share figure exists because the category is largely self-defined	Ontology plus write-back plus classified-grade permissioning in one product; only vendor accredited across the full US defence stack	n/a
Databricks (private)	San Francisco, US	Not publicly reported; widely described as the strongest overall alternative	Leading share in data engineering and machine-learning workloads	Open lakehouse architecture, consumption pricing, far larger developer community, no vendor lock-in on storage format	No native ontology or action layer, so customers must build the operational logic themselves; effectively absent from classified defence work
Snowflake (SNOW)	Bozeman, US	Roughly US\$4bn run-rate; +30% growth; market cap ~US\$86bn (June 2026)	Leading share in cloud data warehousing	Consumption billing, elastic separation of storage and compute, remaining performance obligations of US\$9.77bn (+42%); AIP runs natively on Snowflake under a 2025 partnership	Gross margin of 67% against Palantir's 87%; it is a data substrate, not a decision layer -- which is why the relationship is partly complementary
Microsoft Fabric (MSFT)	Redmond, US	Not separately disclosed within Microsoft	Fastest-growing distribution by seat count, via bundling	Bundled into existing enterprise agreements so the marginal purchase decision is trivial; unmatched distribution	Bundling optimises for breadth, not for the hardest data-fusion problems; limited traction in classified or air-gapped environments
C3.ai (AI)	Redwood City, US	Materially smaller; revenue guidance was lowered through early 2026	Losing share	Pre-built vertical applications requiring less configuration	Application-template model has proved less flexible than a configurable ontology; the clearest share donor to Palantir in this group
Booz Allen, Leidos, Accenture Federal	Virginia / Virginia / Ireland	Large, but services-led with single-digit to low-teens margins	Historically dominant in federal systems integration	Deep contracting relationships, cleared personnel at scale, incumbency across programmes	Labour-based economics cannot match software gross margin; several are now Palantir delivery partners rather than pure competitors, which is itself a share signal
Anduril (private)	Costa Mesa, US	Not publicly reported	Growing in defence autonomy	Lattice command-and-control paired with owned hardware; vertically integrated	Overlaps at the command-and-control layer but is fundamentally a hardware-plus-software company; no commercial enterprise business

The moat is switching cost, and it is unusually literal. When an organisation encodes its operational logic as an ontology -- what a Vessel is, which Vessels a given user may reroute, what happens downstream when one is rerouted -- that encoding is not a configuration file that can be exported. It is the accumulated output of years of negotiation between the software and the organisation's actual working practices, much of which was never written down anywhere else. Replacing Palantir means re-deriving it. The Army Enterprise Agreement made this concrete at the largest possible scale by collapsing 75 contracts, including 15 prime contracts, into one vehicle and removing reseller pass-through fees: a successor vendor would now have to displace an entire enterprise framework rather than win contracts one at a time. Secondary moat components are the accreditation stack and the trained-user base.

The most credible threat to that moat is Databricks, and the mechanism is specific. Databricks does not need to build a better ontology; it needs the ontology to stop being the scarce part. If foundation models become capable enough to infer an organisation's semantic model from its raw schemas and documents --

to do automatically what a forward-deployed engineer currently does over months -- then the moat is not breached, it is bypassed, and the value migrates to whoever owns the cheapest, most open substrate. Databricks is better positioned for that world than Palantir on every axis except accreditation. This is a 2027-2028 risk rather than a 2026 one, because contracted remaining deal value of US\$11.8bn insulates the near-term revenue line entirely, but it is the scenario that would justify the current de-rating rather than merely explain it.

5 MANAGEMENT & GOVERNANCE

ELI5 — What the Class F share is

Most companies work like a club where your number of votes equals the number of shares you own. Palantir has a third class of share, held by three founders in a trust, that is engineered to give them just under half of all votes no matter how many ordinary shares exist -- it automatically adjusts. So if the company issues a billion new shares tomorrow, the founders' voting power does not dilute. In practice this means outside shareholders cannot outvote them on anything that matters, however large their economic stake becomes.

Executive	Role and tenure	Background and relevance to the thesis
Alexander C. Karp	Co-founder and CEO since 2003	Doctorate in neoclassical social theory rather than a technical or finance background. Twenty-three years in the seat, which is exceptional for a company of this size and is the main reason the guidance philosophy has been so consistent. Publicly commits to specific headline metrics -- the Rule of 40 score, a stated ambition of US\$15-18bn revenue within two years -- which is a double-edged governance feature: it disciplines the organisation and it also creates an incentive to guide in a way that keeps the metric intact.
Peter Thiel	Co-founder and Chairman	Board chair and one of three Class F holders. Has reduced his economic stake materially while retaining voting control. Brings political proximity that has been commercially useful in federal contracting and is simultaneously the single largest source of headline risk unrelated to operations.
Stephen Cohen	Co-founder, CTO, third Class F holder	Product and technology strategy. Notable as the largest individual seller in the insider record, with reported disposals of roughly US\$546m across 2023-2025.
Shyam Sankar	Chief Technology Officer	Distinct role from Cohen's; the most publicly visible technical voice on defence strategy and re-industrialisation. Effectively the commercial face of the Warp Speed and defence-industrial expansion.
David Glazer	Chief Financial Officer since 2023	Owns the guidance mechanism that this report's Section 9 analysis turns on. His disclosures are unusually precise -- guiding revenue to a US\$4m-wide range on a US\$1.8bn base -- and unusually conservative relative to outcomes.

On guidance accuracy, management's record is not merely good, it is systematically biased in one direction, and quantifying that bias is the analytical core of this report. In the third quarter of 2025 Palantir beat its own revenue guide by approximately 8.9%; in the fourth quarter of 2025 by 6.0%; in the first quarter of 2026 by 6.4%. On adjusted income from operations the beats were larger still -- roughly 15.1% and 12.8% in the two most recent quarters -- because the company guides an expense ramp it then does not fully spend. A management team that misses guidance is a credibility problem. A management team that beats it by the same margin every quarter is making a deliberate choice about expectation-setting, and an analyst who models the guidance as an unbiased estimate is making a modelling error.

Capital allocation is conservative to the point of being uneventful, which for a company of this profile is a positive. There is no debt, no dividend, and no meaningful acquisition history. Capital expenditure is negligible. The company runs an US\$8.0bn cash and short-term Treasury balance that generates roughly US\$66m a quarter of interest income, and a modest share repurchase programme -- approximately 2.6 million shares bought through the third quarter of 2025 with US\$880m of the original authorisation remaining. The buyback is not large enough to move the share count; its function is to offset stock-based

compensation dilution, and on that measure it has succeeded. Diluted shares were 2,571.1m in the third quarter of 2025 and 2,570.9m in the first quarter of 2026 -- flat over eighteen months at a company issuing over US\$200m of stock compensation per quarter. That is a genuinely underappreciated fact.

The governance flags are real and should be priced. First, the triple-class structure: Class A, Class B and Class F common stock, with all Class F shares held in a Founder Voting Trust established by Karp, Cohen and Thiel and administered by Wilmington Trust. The structure is engineered to preserve a combined 49.999% of total voting power for the three founders irrespective of dilution, which in practice confers veto authority over acquisitions, board composition and strategic direction. Multiple shareholder governance proposals have failed against it. Second, insider selling has been heavy and one-directional: roughly US\$3.2bn disposed across 2023-2025, with essentially no open-market insider buying over a five-year period. Much of this is mechanical -- automatic sell-to-cover against restricted stock unit vesting under Rule 10b5-1 plans, as in Karp's May 2026 disposal of 397,744 shares -- and mechanical selling carries little information. But the absence of any offsetting purchase during a 38% drawdown does carry some. Third, the April 2026 proxy discloses that 3,000,000 of Karp's Class A shares are pledged as collateral against personal debt arrangements, which creates a tail risk of forced selling in a severe drawdown. Fourth, there has been press scrutiny of the scale of the CEO's private aircraft reimbursements.

The assessment: competent and exceptionally aligned on operating execution, credible on guidance to the point of being predictably conservative, and structurally unaccountable to outside shareholders. An investor in this security is a minority partner in a founder-controlled enterprise and should size the position accordingly. Nothing in the governance record suggests value extraction at shareholders' expense; the structure simply removes the option of insisting on it.

6 FINANCIAL TRAJECTORY

ELI5 — Reading two sets of books at once

Palantir reports its profit twice, using two different rulebooks, and the two answers are close but not identical. The official rulebook counts the shares it pays staff with as a real cost. The company's own rulebook removes that cost -- but then charges a pretend 23% tax bill instead of the roughly 1.5% it actually pays. The two adjustments nearly cancel out, which is why the official profit per share has recently come out slightly ABOVE the company's own adjusted figure. Anyone comparing one rulebook's answer to the other rulebook's forecast will get the beat or miss wrong.

Metric (US\$m unless stated)	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026 guide
Revenue	1,004	1,181	1,409 (est.)	1,633	1,797-1,801
y/y growth	+48%	+63%	+70%	+85%	+79%
q/q growth	+14%	+18%	+19% (est.)	+16%	+10%
US revenue	733	883	>1,000	1,282	not guided
US commercial	306	397	n/d	595 (+133% y/y)	not guided
US government	426	486	n/d	687 (+84% y/y)	not guided
Adjusted income from operations	464	601	802 (est.)	984	1,063-1,067
adjusted operating margin	46%	51%	56.9% (est.)	60%	59.2% (implied)
Adjusted operating expenses	540 (est.)	581	607 (est.)	649	734 (implied)
GAAP income from operations	269	393	580 (est.)	754	not guided
GAAP net income to common	327	476	n/d	871	not guided
Adjusted free cash flow	569	540	n/d	925	not guided

Metric (US\$m unless stated)	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026 guide
adjusted FCF margin	57%	46%	n/d	57%	not guided
GAAP diluted EPS (US\$)	0.13	0.18	n/d	0.34	not guided
Adjusted diluted EPS (US\$)	0.16	0.21	n/d	0.33	US\$0.34 consensus
Rule of 40 score	94%	114%	n/d	145%	138% at guidance
Total contract value closed	2,270	2,760	4,300	2,410	n/a
Diluted share count (m)	n/d	2,571.1	n/d	2,570.9	n/a

Figures marked (est.) are algebraically derived rather than directly reported, and the derivation is set out in the Verification Log. The most important is fourth-quarter 2025 revenue of US\$1,409m, which is obtained two independent ways -- from the implied full-year 2025 figure of US\$4,477m less nine-month revenue of US\$3,069m, and from first-quarter 2026 revenue divided by the reported 16% sequential growth -- with the two methods agreeing to within 0.1%.

Three features of this table carry the thesis. The first is that adjusted operating margin has risen in every single quarter shown while revenue growth also accelerated: that combination is what the Rule of 40 score is measuring, and it is why the stock ever supported a triple-digit multiple. The second is the adjusted operating expense line, which grew 7.5% then 4.6% then 7.0% sequentially -- and which the second-quarter guidance implies will grow 13.1%. That gap is the single largest source of guidance conservatism and the tipping variable in the earnings evaluation in Section 9. The third is the flat diluted share count, which means the earnings growth reaching shareholders is not being quietly diluted away.

Balance sheet items worth flagging are almost all favourable. Cash, cash equivalents and marketable securities totalled US\$8.03bn at 31 March 2026 against total liabilities of US\$1.64bn, of which the largest components are deferred revenue of US\$558m and customer deposits of US\$371m -- both of which are customer prepayments and therefore signs of demand rather than obligations to fund. There is no borrowing. Accumulated deficit fell from US\$3.56bn to US\$2.69bn in a single quarter and, on the current earnings trajectory, will be extinguished within the 2026 financial year. The one item requiring attention is accounts receivable, which rose from US\$1.04bn to US\$1.41bn in the quarter, a 35% sequential increase against 16% sequential revenue growth. Some of that gap is normal for a business closing more and larger deals late in a quarter, and cash from operations of US\$899m argues against any collection problem, but if the same divergence repeats in the second-quarter print it becomes a revenue-quality question worth raising rather than a timing artefact.

7 CATALYSTS AND RISKS

Catalyst	Timing	Impact	Probability
Q2 2026 results	3 Aug 2026, after close	The near-term event. Section 9 quantifies it: consensus is a guidance plug against a company with a 6-9% guide-beat pattern. Options are pricing an 11.4% move either way.	Certain (event); High (beat)
Full-year 2026 revenue guidance raise	3 Aug 2026, with results	Arithmetically close to forced. Holding the current US\$7.656bn midpoint after a base-case second quarter would imply second-half quarters growing only about 8% sequentially against 14-18% recently delivered.	High
US commercial revenue crossing a US\$800m quarter	Q3-Q4 2026	The segment guided above US\$3.224bn for the full year with at least 120% growth. Sustaining that rate is the single load-bearing assumption in the growth story.	Medium-High

Catalyst	Timing	Impact	Probability
Army Enterprise Agreement drawdown pace	Continuous; visible in quarterly US government revenue	The US\$10bn ceiling is a ceiling, not committed revenue. Faster-than-modelled task-order flow is the most direct upside to federal numbers.	Medium
Defense Intelligence Agency re-solicitation	H2 2026	The agency withdrew a disputed solicitation in late July 2026 after a Palantir protest -- read as a win, but a withdrawn solicitation delays the award and therefore the revenue.	Medium
European sovereign-AI decisions	H2 2026 into 2027	Several partner nations reported to be evaluating alternatives. International government revenue grew 51% year on year against 84% for US government; further deceleration would confirm the sovereignty drag is structural.	Medium (negative)
Accumulated deficit extinguished / index and mandate effects	FY2026	Removes a residual screen exclusion for some mandates. Modest, and largely mechanical.	High
Multiple re-rating on a market-wide AI de-rating or re-rating	Continuous	At roughly 39-41x forward sales the security's dominant short-run driver is the multiple, not the results. This cuts both ways and dominates every item above.	High

Risks, stated specifically.

Valuation is the risk, and it is not a generic one. At US\$123.06 the equity capitalises at roughly US\$295-316bn against full-year 2026 guided revenue of US\$7.66bn -- approximately 39-41x forward sales, against Datadog at roughly 11x next-twelve-months enterprise value to revenue and CrowdStrike at roughly 19x. On this report's own build of full-year 2026 adjusted earnings of roughly US\$1.56 per share, the forward earnings multiple is approximately 79x; published figures of 113x reflect lower Street earnings assumptions struck at different prices. The specific mechanism of harm is not that these multiples are unjustifiable but that they leave no room for a growth-rate disappointment: a deceleration from 85% to, say, 55% growth would still be an extraordinary result and could halve the multiple. The stock's roughly 38% drawdown from its November 2025 high occurred during a period of accelerating fundamentals, which demonstrates the mechanism empirically rather than theoretically.

The Databricks bypass risk is the most credible threat to the business rather than to the multiple. Palantir's moat rests on the ontology being expensive to build. If foundation models become able to infer an organisation's semantic model from raw schemas, documentation and usage logs -- which is a plausible extrapolation of current capability rather than a speculative one -- then the forward-deployed engineering that currently takes months becomes a prompt, and the durable value shifts to whoever owns the cheapest open substrate. Databricks wins that world. The contracted remaining deal value of US\$11.8bn means this cannot damage 2026 or most of 2027 revenue, which is precisely why it is dangerous: it would show up first as a slowdown in new contract value rather than in reported revenue, and by the time revenue reflects it the re-rating will have happened.

Federal customer concentration is a genuine single-point risk that the Army Enterprise Agreement has intensified rather than diversified. US government revenue was US\$687m of US\$1.633bn in the first quarter. The Enterprise Agreement consolidated 75 contracts into one instrument, and the majority of Palantir's contracts -- as the company itself discloses in every release -- are subject to termination for convenience. A single administrative decision at the Army could therefore affect a materially larger revenue block than would have been possible under the previous fragmented structure. Appropriations disruption is the more likely version of this risk: the third quarter of 2025 was delivered against a federal government shutdown, which the company navigated, but the exposure is structural.

The European sovereignty risk is specific to named customers rather than diffuse. Palantir holds significant United Kingdom Ministry of Defence work, including a GBP 240m three-year award made without tender in December 2025, and NATO adopted the Maven Smart System for Allied Command Operations. Reporting indicates certain European partner nations are now evaluating alternatives on digital-sovereignty grounds --

the concern being dependence on a US vendor with well-publicised political affiliations for defence decision-making infrastructure. The evidence that this is already biting is in the reported segment split: international government revenue grew 51% year on year in the first quarter against 84% for US government. A no-tender award of the UK type is also precisely the kind of arrangement that attracts subsequent political review.

Key-person risk sits with Karp specifically and is amplified by the governance structure. He has run the company for twenty-three years, personally sets the headline metrics the organisation is managed against, and holds one of three Class F positions. There is no publicly disclosed succession plan. The pledging of 3,000,000 of his Class A shares as collateral against personal borrowings adds a mechanical tail: a severe further drawdown could force sales into weakness, which for a stock with this shareholder base would be a reflexive event rather than a merely technical one.

Finally, a reporting risk that is unusual enough to name. Because Palantir's adjusted earnings per share applies a notional 23% tax rate while GAAP pays roughly 1.4%, GAAP earnings per share can print above adjusted earnings per share -- it did in the first quarter of 2026, at US\$0.34 against US\$0.33. Consensus is quoted on the adjusted figure. Any wire report comparing a GAAP print to an adjusted estimate will misstate the beat, in either direction, and in a stock with an 11.4% implied move that misstatement can move the price before it is corrected.

8 VALUATION CONTEXT

Company (ticker)	Market cap	Revenue	Growth	Earnings multiple	Margin profile	End-market exposure
Palantir (PLTR)	US\$295-316bn	US\$5.23bn TTM; FY26E US\$7.66bn	+85% y/y (Q1 2026)	~79x FY26E adj. EPS on this report's build; ~113x on published Street figures	87% gross; 60% adj. operating; 57% adj. FCF	US federal defence and civil agencies (~42%); US commercial (~36%); international (~22%)
Snowflake (SNOW)	~US\$86bn (June 2026)	~US\$4bn run-rate	+30%	~151x trailing	67% gross; ~15% EBITDA; 23.9% FCF	Broad commercial enterprise; minimal defence
Datadog (DDOG)	~US\$87bn (July 2026)	US\$3.43bn (FY2025)	+27.7%	~105x trailing; ~11.4x NTM EV/revenue	81% gross; 24% EBITDA; 26.7% FCF	Cloud-native commercial; observability
CrowdStrike (CRWD)	not verified for this report	~US\$4.8bn (FY2026)	+21.7%	~18.9x NTM EV/revenue	Net loss of US\$162.5m; SBC ~131% of operating cash flow	Commercial and some federal cybersecurity

The comparison is deliberately uncomfortable because no clean comparable exists. Palantir grows roughly three times faster than any of these names at roughly double the operating margin, which argues a premium is warranted; it also trades at three to four times their revenue multiple, which argues about how large a premium. What the table establishes is narrower and more useful than a fair-value judgement: the entire valuation argument rests on the durability of a growth rate that has no precedent at this revenue scale, and none of these peers can be used to triangulate that. Peer figures are drawn from third-party aggregators at various dates through June and July 2026 and should be treated as directional; CrowdStrike's market capitalisation was not independently verified and is therefore omitted rather than estimated.

Bull case. Growth does not decelerate the way software growth normally does, because Palantir is not selling seats -- US commercial revenue compounds at or above the guided 120% into 2027 as AIP Bootcamps convert, federal spending flows through the Army Enterprise Agreement faster than modelled, and Warp Speed opens a defence-industrial vertical with its own ceiling. Karp's stated ambition of US\$15-18bn of revenue within two years becomes credible rather than rhetorical. Adjusted operating margin, already 60%,

continues expanding because incremental deals are configurations rather than deployments, so free cash flow compounds faster than revenue. On that path a business earning above US\$4bn of adjusted free cash flow in 2026 and growing it 50%-plus annually supports the current capitalisation without heroic terminal assumptions, and the 38% drawdown from the November 2025 high resolves as a multiple reset within an intact compounding story. The catalyst is straightforward: two or three more quarters of the beat-and-raise pattern documented in Section 9 while the multiple stops falling.

Bear case. The de-rating already underway is not an overreaction but an early recognition that 39-41x forward sales cannot survive the arithmetic of large numbers. Growth decelerates from 85% toward 40-50% during 2027 as the US commercial base laps its own comparisons -- still extraordinary, and still enough to compress the multiple by half, because at these levels the multiple is discounting the second derivative rather than the level. Concurrently the moat erodes from an unexpected direction: foundation models get good enough to infer ontologies directly, forward-deployed engineering stops being scarce, and Databricks and Microsoft compete on price into a category Palantir defined. Federal concentration turns from asset to liability on an administration change or an appropriations fight, European sovereignty concerns harden into procurement policy, and the international line stops growing. In that scenario the security can lose half its value while the company still reports growth most software businesses would envy -- which is precisely what happened between November 2025 and June 2026, on a smaller scale, and is the reason the bear case deserves to be taken seriously rather than dismissed as a valuation quibble.

9 WHAT MOVES IT NEXT -- Q2 2026 EARNINGS EVALUATION

ELI5 — Two different questions

Imagine a student who has scored 90% on every test for three years. The school announces the pass mark for tomorrow's exam is 68%. Asking "will they pass?" is almost not a question -- you would need something to have gone badly wrong. But if you are betting on whether their parents will be pleased, that depends on what the parents expected, what the neighbours' children scored, and what mood everyone is in. Palantir is the student. The consensus estimate is the pass mark. This section answers the first question with high confidence and is honest that it cannot answer the second.

The event is confirmed: Monday 3 August 2026, after the US market close, with a webcast at 5:00 PM Eastern and a shareholder question-and-answer session. Guidance issued on 4 May 2026 was revenue of US\$1.797-1.801bn and adjusted income from operations of US\$1.063-1.067bn. Consensus is approximately US\$1.810bn of revenue and adjusted earnings per share of US\$0.34 to US\$0.354 depending on the data provider.

Start with the arithmetic that frames everything else. Consensus revenue sits 0.6% above the midpoint of the company's own guidance. That is not a forecast; it is a guidance plug with a rounding allowance. Now put it against what Palantir actually does to its own guidance.

Quarter	Revenue guide (midpoint)	Revenue actual	Beat vs guide	Adj. op. income guide	Adj. op. income actual	Beat vs guide
Q3 2025	US\$1,085m (est.)	US\$1,181m	+8.9%	not retrieved	US\$601m	n/a
Q4 2025	US\$1,329m	US\$1,409m (est.)	+6.0%	US\$697m	US\$802m (est.)	+15.1%
Q1 2026	US\$1,534m	US\$1,633m	+6.4%	US\$872m	US\$984m	+12.8%
Mean			+7.1%			+13.9%
Q2 2026	US\$1,799m	consensus US\$1,810m	+0.6% implied by consensus	US\$1,065m	--	--

The Street is asking Palantir to beat its own guide by 0.6%. Its worst quarter of the last three beat by 6.0%. For consensus to be correct, the beat pattern would have to collapse by roughly an order of magnitude in a single quarter, with no observable cause in contract value, remaining deal value, remaining performance obligations or announced awards -- all of which point the other way. Remaining performance obligations were up 134% year on year at the first quarter; US commercial remaining deal value was up 112%.

The second-order point is where the earnings-per-share outcome is actually decided, and it is not the artificial intelligence story. Palantir's adjusted operating expenses grew 4.6% then 7.0% sequentially over the last two quarters. The second-quarter guidance implies US\$734m of adjusted operating expenses -- a 13.1% sequential increase. Management has flagged a deliberate expense ramp, so some acceleration is genuine, but the gap between a guided 13.1% and a delivered 7% is roughly US\$44m of operating income, or about US\$0.013 of earnings per share. That expense line, together with the volatile other income line, is the tipping variable. The companion workbook runs the full sensitivity.

Scenario	Revenue	vs guide / vs consensus	Adj. op. margin	Adjusted EPS	vs US\$0.34 consensus	Rule of 40
Guidance outcome	US\$1,799m	0.0% / -0.6%	59.2%	US\$0.337	-1.0%	138%
Bear	US\$1,853m	+3.0% / +2.4%	60.1%	US\$0.351	+3.2%	145%
Base (modal)	US\$1,907m	+6.0% / +5.4%	62.7%	US\$0.382	+12.3%	153%
Bull	US\$1,961m	+9.0% / +8.3%	64.3%	US\$0.411	+20.9%	160%

Note what the first row establishes. Running the model at the guidance midpoint, with the guided expense ramp fully spent and no contribution from other income, produces adjusted earnings per share of US\$0.337 -- which rounds to the consensus figure. Consensus is not a forecast of performance; it is the guidance restated in per-share form. Every scenario in which Palantir does what it has done in each of the last three quarters clears it comfortably.

Outcome	Probability	Basis
Revenue beats US\$1.810bn	92%	Requires a 0.6% beat vs guide; three-quarter range is +6.0% to +8.9%. The residual covers a demand or timing shock invisible in backlog and award flow.
Adjusted EPS beats US\$0.34	88%	Clears at any revenue beat above roughly 2% regardless of where expenses land in the plausible range. Lower than the revenue probability because an expense overshoot and a negative other-income print could combine.
Adjusted EPS beats US\$0.354	76%	The stiffer of the two published consensus prints. Needs roughly a 4% revenue beat with expenses at or below mid-range.
Full-year 2026 revenue guidance raised	94%	Holding US\$7.656bn after a base-case second quarter implies second-half quarters growing about 8% sequentially against 14-18% delivered recently.
Guidance raised by more than 3%	55%	Last quarter's raise was 10 percentage points of growth. Two consecutive negative share price reactions to good news give management a reason to hold back.
Clean sweep: revenue beat, EPS beat, guidance raise	84%	The three legs share one revenue driver, so the joint probability sits near the weakest leg rather than at the product of the three.
Shares close higher the following session	45%	Deliberately below even. See the reaction table below.

Now the part that matters more than the forecast. Palantir beat and raised in February 2026 and the stock fell 6.9%. It beat and raised in May 2026, with the largest full-year guidance increase in company history, and the stock fell 5.0%. Being right about the print has recently been uncorrelated with being right about the position.

Report date	Implied move	Actual move	What was reported
4 Nov 2024	12.9%	+14.0%	Beat and raise

Report date	Implied move	Actual move	What was reported
3 Feb 2025	13.2%	+31.5%	Beat and raise; largest reaction in the sample
2 Feb 2026	8.7%	-6.9%	Q4 2025 beat; FY2026 guide set above the Street
4 May 2026	8.9%	-5.0%	Revenue +85% y/y; largest FY guidance raise in company history
3 Aug 2026	11.4%	--	At-the-money straddle cost US\$14.04 against a US\$123.06 close, implying US\$109.02-137.10

The volatility statistics are genuinely ambiguous rather than conveniently one-sided. Across the last fourteen reactions the average absolute move was 15.4% and the median 13.6%, with eight of fourteen exceeding the 11.4% now implied -- which on a frequency basis makes the straddle look cheap. But the last four reactions averaged only 7.4% absolute, so the distribution has been compressing as the market capitalisation grew, and the two most recent were negative despite clean beats. Both readings are defensible from the same data. The conclusion this report draws is that there is a real edge on the fundamental question and no edge at all on direction, and that conflating the two is the specific error to avoid here.

The signal map for the print itself:

Company	Next earnings	Days away	The one metric	Why it matters
Palantir (PLTR)	Mon 3 Aug 2026, Q2 2026	1	US commercial revenue growth against the 120% full-year guided rate -- the segment printed US\$595m and +133% in Q1, so the threshold is roughly US\$700m	This is the line that justifies the multiple. Federal growth is understood and contracted; US commercial is the variable the bull case is built on. A print below roughly 110% growth would start the deceleration debate regardless of how large the headline beat is.
Palantir -- secondary	Same release	1	Adjusted free cash flow against the US\$925m Q1 print	Above US\$1bn with an unchanged or raised full-year outlook validates the US\$4.2-4.4bn full-year guide. Below roughly US\$850m reopens the deceleration argument on the cash line even if revenue is strong.
Palantir -- tertiary	Same release	1	Adjusted operating expenses against the US\$734m implied by guidance	The tipping variable for earnings per share. A print near US\$710m converts a good revenue quarter into a large earnings beat; a print at or above guidance halves it.
Snowflake (SNOW)	Late Aug 2026 (est.)	~25	Product revenue growth and remaining performance obligations against the US\$9.77bn base	The cleanest read on whether enterprise data-platform budgets are still expanding, and the most direct test of whether Palantir's commercial growth is category expansion or share capture.
Databricks (private)	n/a -- no public reporting	n/a	Any disclosed annualised revenue run-rate or funding round	The most credible long-term threat discloses nothing on a schedule, so the moat-erosion thesis has to be monitored through Palantir's own new-contract-value line instead.

Prioritisation. Tomorrow's print is the only item on this list that requires attention before it happens, and the specific thing to have decided in advance is which of the two questions is being traded. If the position is a view on the business, the evidence supports high confidence in a beat and a full-year raise, and the metric to check first on the release is US commercial revenue, not the headline. If the position is a view on the share price over the following session, the honest assessment is that this report has nothing to offer: the last two beat-and-raises both sold off, the security trades on multiple compression rather than on results, and an 11.4% implied move against a 13.6% fourteen-quarter median is close enough to fair that no edge is claimable in either direction. The most useful posture is to treat the print as an information event about the durability of the growth rate -- specifically the US commercial line -- and to size any expression of it accordingly.

A APPENDIX A -- VERIFICATION LOG

Every company-level claim in this report is classified CLEAN (confirmed against a primary filing or company release), EST. (derived algebraically or estimated, with the derivation stated) or FLAGGED (source conflict, anomaly, or material uncertainty disclosed).

Claim	Status	Source / derivation
Q2 2026 report date, 3 Aug 2026 after close, webcast 5:00 PM ET	CLEAN	Palantir press release 13 July 2026; TipRanks earnings calendar marks it Confirmed
Q2 2026 guidance: revenue US\$1.797-1.801bn, adj. op. income US\$1.063-1.067bn	CLEAN	Q1 2026 Form 8-K Exhibit 99.1, Outlook section, SEC EDGAR
FY2026 guidance US\$7.650-7.662bn; US commercial above US\$3.224bn; adj. FCF US\$4.2-4.4bn	CLEAN	Q1 2026 Form 8-K Exhibit 99.1
Q1 2026 full income statement, balance sheet, cash flow and non-GAAP reconciliations	CLEAN	Q1 2026 Form 8-K Exhibit 99.1, SEC EDGAR
Q3 2025 full financials and Q4 2025 guidance of US\$1.327-1.331bn / US\$695-699m	CLEAN	Q3 2025 Form 8-K Exhibit 99.1, SEC EDGAR
Q1 2026 guidance of US\$1.532-1.536bn / US\$870-874m	CLEAN	Q4 2025 Form 8-K Exhibit 99.1, Outlook section
FY2025 revenue of US\$4,477m	EST.	Derived: FY2026 guidance midpoint US\$7,656m divided by the stated 1.71 growth factor. Not a directly reported figure in the sources retrieved.
Q4 2025 revenue of US\$1,409m	EST.	Derived two ways: FY2025 US\$4,477m less nine-month US\$3,069m gives US\$1,408.5m; Q1 2026 US\$1,632.6m divided by the reported 1.16 sequential factor gives US\$1,407.4m. Agreement within 0.1%.
Q4 2025 adjusted operating expenses US\$607m and adj. op. income US\$802m	EST.	Derived from CFO Glazer's Q1 2026 call statement that adjusted expenses were US\$649m, up 7% sequentially. Not directly reported.
Q3 2025 revenue guidance midpoint of US\$1,085m	EST.	Inferred from the Q2 2025 release language guiding to 50% year-on-year growth against a US\$725.5m base. The exact guided range was not retrieved; the +8.9% beat figure carries this uncertainty.
Consensus revenue of US\$1.810bn	CLEAN	Three independent late-July 2026 previews converge on US\$1.81bn
Consensus adjusted EPS of US\$0.34 to US\$0.354	FLAGGED	Providers disagree: TipRanks US\$0.34, FintHub approximately US\$0.354. The dispersion is material to any beat calculation and is modelled explicitly rather than averaged away.
Market capitalisation US\$295-316bn	FLAGGED	Range, not a point figure: US\$123.06 close against 2,394m basic and 2,571m diluted shares. Published figures of ~US\$332bn and ~US\$424bn earlier in 2026 reflect higher prices.
Forward sales multiple of 39-41x; forward earnings multiple of ~79x	EST.	This report's own calculation on FY2026 guided revenue and a bottom-up FY2026 adjusted EPS build of ~US\$1.56. Published figures of 71x sales and 113x earnings use FY2025 revenue, diluted share counts and different reference prices; the discrepancy is disclosed rather than resolved.
Implied move 11.4%; straddle US\$14.04 at the US\$123 strike; close US\$123.06	CLEAN	TipRanks options coverage, 1 August 2026
Historical reaction data: 14-quarter mean 15.4%, median 13.6%; last four 7.4%	CLEAN	TipRanks; individual implied-versus-actual pairs from Bloomberg data via Investing.com
Insider disposals of approximately US\$3.2bn across 2023-2025	FLAGGED	Third-party aggregation, not tied to a specific filing. Directionally corroborated by individual Form 4 filings. Treat as indicative.
Class F structure preserving 49.999% combined founder voting power	CLEAN	Palantir proxy statements; Founder Voting Trust with Wilmington Trust as trustee

Claim	Status	Source / derivation
3,000,000 Karp Class A shares pledged as collateral	CLEAN	DEF 14A filed April 2026, beneficial ownership footnote (1)
HQ relocated Denver to Miami, February 2026	CLEAN	Company announcement 17 February 2026; corroborated by the MIAMI dateline on the Q1 2026 release versus DENVER on the Q3 2025 release
Employee count of approximately 4,429 at end-2025	EST.	Press reporting at the time of the HQ announcement; not tied to a filing
Peer figures for Snowflake, Datadog and CrowdStrike	FLAGGED	Third-party aggregators at dates between June and July 2026, not a common date. Directional only. CrowdStrike market capitalisation was not verified and is omitted rather than estimated.
Databricks and Anduril revenue	FLAGGED	Private companies; no reliable figures. Described qualitatively rather than quantified.
Segment mix percentages in the valuation table	EST.	Computed from the Q1 2026 disclosed split; not a company-reported segmentation

B**APPENDIX B -- ACRONYM GLOSSARY**

Acronym	Full term	Meaning in this report
ACV	Annual Contract Value	Total value of contracts closed in a period divided by their dollar-weighted average duration
AIP	Artificial Intelligence Platform	Palantir's layer connecting large language models to the ontology, with tool-calling bound to declared action types
AMC	After Market Close	Results released after the US equity market closes
ATM	At The Money	An option whose strike price is closest to the current share price
DIA	Defense Intelligence Agency	US agency that withdrew a disputed solicitation after a Palantir protest in July 2026
EA	Enterprise Agreement	The US Army's 10-year, US\$10bn-ceiling contract vehicle consolidating 75 prior contracts
EV	Enterprise Value	Market capitalisation plus net debt; for Palantir, less net cash
FCF	Free Cash Flow	Cash from operations less capital expenditure; Palantir's adjusted version adds back cash employer payroll taxes on stock compensation
FedRAMP	Federal Risk and Authorization Management Program	US government cloud security accreditation framework
GAAP	Generally Accepted Accounting Principles	The official US reporting standard, under which stock compensation is an expense
NCI	Noncontrolling Interests	Earnings attributable to minority holders in consolidated subsidiaries, deducted before EPS
NTM	Next Twelve Months	Forward-looking valuation basis used in the peer table
RDV	Remaining Deal Value	Total remaining value of contracts at period end, assuming all options are exercised and no contracts terminate
RPO	Remaining Performance Obligations	Non-cancellable contracted revenue not yet recognised -- a stricter measure than RDV
RSU	Restricted Stock Unit	Share-based compensation vesting over time; the source of Palantir's automatic sell-to-cover insider transactions
Rule of 40	Rule of 40	Revenue growth rate plus adjusted operating margin. Palantir reported 145% in Q1 2026
Rule 10b5-1	SEC Rule 10b5-1	Pre-scheduled trading plan allowing insiders to sell on a fixed schedule without acting on inside information
SBC	Stock-Based Compensation	Non-cash equity compensation; US\$202m in Q1 2026, excluded from Palantir's adjusted figures
SOTP	Sum Of The Parts	Valuation by aggregating separately valued segments; not used here
TCV	Total Contract Value	Total potential lifetime value of contracts signed in a period, assuming all options exercised

Acronym	Full term	Meaning in this report
TTM	Trailing Twelve Months	The four most recent reported quarters

C APPENDIX C -- DISCLAIMER

This document is internal buy-side research prepared for the recipient's own investment process. It is not investment advice, not a recommendation to buy, sell or hold any security, and not an offer or solicitation. Consistent with house convention it contains no price target and no rating.

Probabilities stated in Section 9 and in the companion workbook are subjective judgements derived from the evidence set out alongside them. They are not statistical confidence intervals and should not be treated as calibrated frequencies. A single quarterly result is not reliably predictable at the confidence a probability figure implies, and the share price reaction to a result is less predictable still -- a point Section 9 makes explicitly and which should not be lost in the presentation of a numeric probability.

Financial data is drawn from Palantir's Form 8-K filings and press releases on SEC EDGAR where possible, and from third-party aggregators where not. Several figures used in this report are algebraically derived from disclosed relationships rather than directly reported; every such figure is marked (est.) in the tables and its derivation is stated in Appendix A. Consensus estimates are averages of private forecasts compiled by commercial data providers, differ between providers, and are not official numbers. Market data is as at 1 August 2026 and moves continuously. No representation is made that any figure remains current at the time of reading.

Palantir's non-GAAP measures exclude stock-based compensation and related employer payroll taxes and apply a notional long-term effective tax rate of 23.0% rather than the actual provision. These definitions differ from those used by other companies and limit comparability. Readers should refer to the reconciliations in the company's own filings.